

### Question #1 of 17

Question ID: 1472323

The requirement for firms to carry out an annual independent audit is best described as a regulation implemented to address:

- A)** sub-optimal allocation of resources.
  - B)** information asymmetry.
  - C)** externalities.
- 

### Question #2 of 17

Question ID: 1472331

To combat childhood obesity, the city of San Francisco, CA banned fast food restaurants to bundle free toys with kids menu choices deemed unhealthy. The restaurants simply allowed customers an option to purchase toys at an insignificant cost in lieu of including it free.

This is an example of:

- A)** Regulatory arbitrage
  - B)** Regulatory failure
  - C)** Regulatory capture
- 

### Question #3 of 17

Question ID: 1472329

Self regulating bodies that are recognized by the government and are given regulatory powers:

- A)** may be susceptible to political pressures from members.
  - B)** are common in civil law countries.
  - C)** are less effective in carrying out regulatory objectives than are governmental agencies.
-

### Question #4 of 17

Question ID: 1472330

Which of the following statements regarding self-regulating bodies is *least accurate*?

- A) Self-regulatory bodies are private organizations that both represent and regulate their members.
  - B) FINRA in the U.S. is an example of a self-regulating organization in the financial markets.
  - C) Self-regulating bodies are recognized by the government.
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### Question #5 of 17

Question ID: 1472337

Moldovia, an emerging market country in Latin America has joined a trade alliance. To comply with the terms of the alliance, Moldovian government is reducing farm subsidies and increasing taxes on environmentally unfriendly business practices in industrial waste treatment and mining industries.

Due to these changes, which Moldovian industries are least likely to shrink:

- A) Airline
  - B) Mining
  - C) Food processing
- 

### Question #6 of 17

Question ID: 1472322

Regulations are *least likely* needed under which of the following situations:

- A) A small investor is investigating a speculative stock and applies an incorrect growth estimate for the company's earnings.
  - B) A small town is experiencing large inflow of out-of- town visitors constraining street parking.
  - C) A small privately-held developing 'Apps' seeks equity investors to finance development of additional software.
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### Question #7 of 17

Question ID: 1472328

Gordon Futona is evaluating the regulatory burden faced by a company he follows as an equity analyst. Futona makes the following two statements:

- |             |                                                                                                                   |
|-------------|-------------------------------------------------------------------------------------------------------------------|
| Statement 1 | Prudential supervision is a regulatory tool governments may use to limit potential financial contagion.           |
| Statement 2 | Antitrust regulation may prevent two companies from merging, but has no power over the pricing policies of firms. |

Which of Futona's statement(s) are correct?

- A) Statement 2 only.
  - B) Both statements are correct.
  - C) Statement 1 only.
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### Question #8 of 17

Question ID: 1472326

A Swiss company is looking to acquire their main competitor based in Singapore. This acquisition could create a company that represents 55% of the market share. An analyst following this industry must be aware of potential anti-trust regulatory issues in:

- A) Switzerland.
  - B) Singapore.
  - C) both Singapore and Switzerland.
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### Question #9 of 17

Question ID: 1472334

Which of the following regulatory interventions is theoretically *least* effective?

- A) Subsidizing the cost of environmentally friendly projects for small firms.
  - B) Requiring a company to pay a fine if annual financial statements are not filed in a timely fashion.
  - C) Imposing a punitive tax on the consumption of junk food to cut its consumption.
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**Question #10 of 17**

Question ID: 1472335

A review of an existing regulation with a sunset clause has revealed that the net regulatory burden is less than the initial estimates. A possible reason for this is that:

- A)** indirect costs were underestimated.
  - B)** regulatory burden was underestimated.
  - C)** private benefits were underestimated.
- 

**Question #11 of 17**

Question ID: 1472333

Moldovia is a rapidly growing emerging market economy. To boost the level of capital per worker, the government allows for higher-than-previously allowed levels of depreciation expense for tax purposes on new equipment lowering the effective cost for the business.

This is an example of:

- A)** a price mechanism regulatory tool.
  - B)** a provision of public good/financing private project regulatory tool
  - C)** requiring certain activity regulatory tool.
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**Question #12 of 17**

Question ID: 1472324

Which of the following is *least likely* to be a purpose of regulating commerce:

- A)** Preserve integrity of stock exchanges.
  - B)** Restrict unfair competition.
  - C)** Protect domestic industries from unfair foreign competition.
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**Question #13 of 17**

Question ID: 1472336

"Net regulatory burden" is *best* defined as:

- direct costs of implementation, less private benefits resulting from implementation,
  - A)** plus the indirect cost of changes in economic behavior resulting from implementation.
  - B)** direct costs of implementation, less private benefits resulting from implementation.
  - C)** direct costs of implementation, plus the indirect cost of changes in economic behavior resulting from implementation.
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### Question #14 of 17

Question ID: 1472332

After a recent financial crisis, Ruritania and all of its neighbors except one voted to enact stringent regulations prohibiting 100% mortgage loans. (A 100% mortgage is one where the borrower receives a loan amount equal to the total value of the property.) The Ruritanian government is now concerned that firms may leave Ruritania and base themselves in a country without the stringent regulation. This situation is *best described* as an example of:

- A)** regulatory arbitrage.
  - B)** regulatory burden.
  - C)** regulatory capture.
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### Question #15 of 17

Question ID: 1472325

Which of the following statements is *most accurate* regarding the regulation of security markets?

- A)** Regulations requiring the insurance of retail deposits at large banks may increase risk-taking incentives for the bank.
  - B)** Most securities markets require investors to transact through intermediaries to reduce potential agency problems.
  - C)** Historically, regulations have focused on large investment schemes such as private equity funds, rather than on retail investors.
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### Question #16 of 17

Question ID: 1472338

Regarding the impact on industry of regulation, regulation is *least* likely to:

- A)** reduce inefficiencies in the industry.
  - B)** benefit the industry being regulated.
  - C)** increase the size of an industry.
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### Question #17 of 17

Question ID: 1472327

Dan Garbutt is studying the burden of regulation that companies in Eglaria, a developing country in Europe, face. He has identified the following regulatory body that he feels places a large regulatory burden on the economy.

*The Independent Auditing Review Panel (IARP)*

*The IARP is recognized, but not funded by, the government of Eglaria. Funding is via a charge added to the mandatory annual audit for all public companies operating in Eglaria. The IARP's role is to ensure that audits are carried out to a high and consistent standard, and it has the power to revoke the auditing license of any company which it feels is not up to standard. The IARP is run by a board of ten members from a wide range of backgrounds, none of whom are licensed auditors.*

The IARP is *best* described as a:

- A)** self-regulating organization
- B)** independent regulator
- C)** government agency